STATISTICS & MACHINE LEARNING · LESSON 1 OF 28

Descriptive Statistics: Centre, Spread, Shape and Relationships

Describe data with numbers before modelling it. Types of data and measurement scales, mean, median and mode, range, variance, standard deviation, IQR and coefficient of variation, percentiles and z-scores, skewness and kurtosis, covariance and correlation (Pearson and Spearman), all on the house-price and HR datasets.

Python class 14 | pandas 3 · SciPy 1.1x | Beginner | 100 min

By the end of this lesson you can

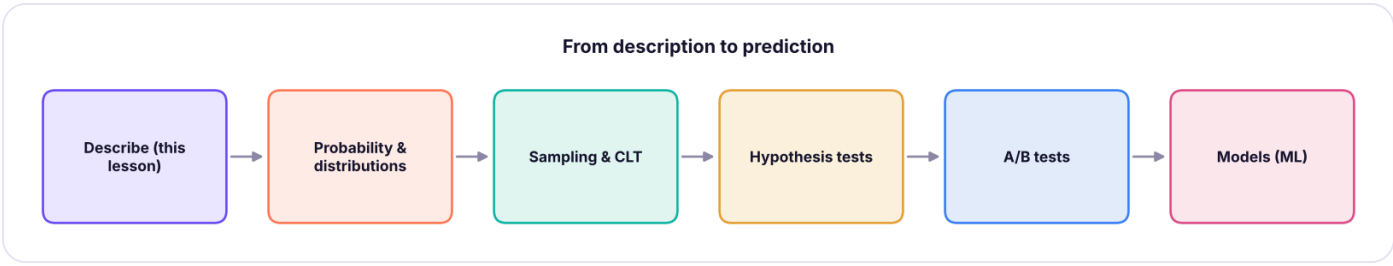
- Classify variables as categorical (nominal, ordinal) or numeric (discrete, continuous; interval, ratio)
- Compute and interpret mean, median, mode, weighted mean and trimmed mean
- Compute and interpret range, IQR, variance, standard deviation and coefficient of variation
- Use percentiles and z-scores and describe skewness and kurtosis
- Measure association with covariance, Pearson and Spearman correlation, and explain why correlation is not causation

Datasets used

`house_prices.csv` `hr_employees.csv`

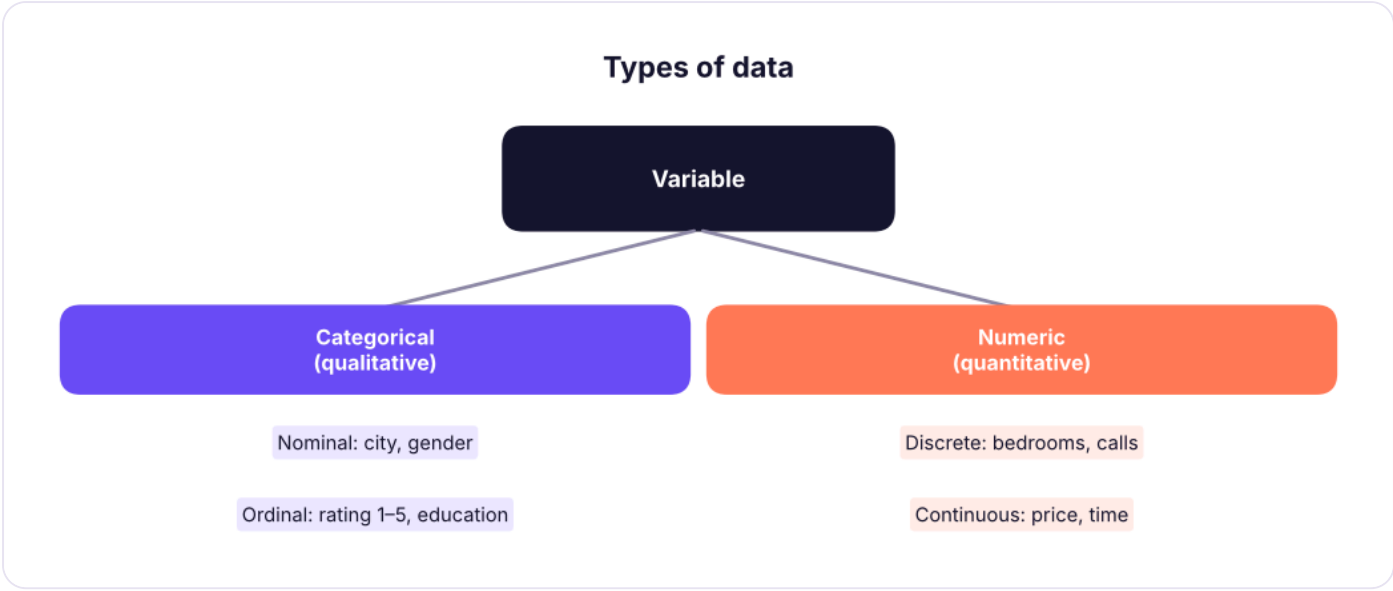
Statistics in data science

Descriptive statistics summarise the data you have. **Inferential statistics** use a sample to draw conclusions about a larger population (next lessons). Machine learning builds on both.



The statistics roadmap for this track.

Types of data



Variable types decide which statistics and charts make sense.

Scale	Has order?	Equal intervals?	True zero?	Example	Allowed statistics
Nominal	No	–	–	City	Mode, counts
Ordinal	Yes	No	–	Satisfaction 1–4	Median, percentiles
Interval	Yes	Yes	No	Temperature °C	Mean, sd (no ratios)
Ratio	Yes	Yes	Yes	Income, price	Everything, including ratios

Measures of centre

Python

```
import pandas as pd, numpy as np
from scipy import stats
h = pd.read_csv("house_prices.csv")
p = h["price_lakh"]
print(f"mean {p.mean():.1f} | median {p.median():.1f} | mode (rounded to 10)
{(p.round(-1)).mode()[0]:.0f} | trimmed mean 10% {stats.trim_mean(p, 0.1):.1f}")
print("bedrooms mode:", h["bedrooms"].mode().tolist(), "| city mode:", h["city"].mode()[0])
w = pd.DataFrame({"city_avg_price": [62, 88, 75], "houses": [100, 20, 50]})
print("simple mean of city averages:", w.city_avg_price.mean().round(1), "| weighted
mean:", np.average(w.city_avg_price, weights=w.houses).round(1))
```

OUTPUT

```
mean 80.4 | median 78.9 | mode (rounded to 10) 80 | trimmed mean 10% 78.9
bedrooms mode: [2] | city mode: Bengaluru
simple mean of city averages: 75.0 | weighted mean: 68.9
```

Measure	Use when	Sensitive to outliers?
Mean	Symmetric numeric data; totals matter	Yes
Median	Skewed data (income, prices), ordinal data	No
Mode	Categories, most common value	No
Trimmed mean	Want a mean but robust to extremes	Less
Weighted mean	Groups of different sizes	Depends

Python

```
salaries = pd.Series([40, 42, 45, 47, 50, 52, 55, 60, 65, 900])      # one CEO in thousands
print(f"mean {salaries.mean():.1f}K vs median {salaries.median():.1f}K: one extreme value
moves the mean, not the median")
```

OUTPUT

```
mean 135.6K vs median 51.0K: one extreme value moves the mean, not the median
```

Measures of spread

Python

```
def spread(x):
    q1, q3 = x.quantile([.25, .75])
    return pd.Series({"range": x.max() - x.min(), "IQR": q3 - q1, "variance": x.var(),
"std": x.std(), "CV_%": 100 * x.std() / x.mean(), "MAD": (x - x.median()).abs().median()})
print(pd.DataFrame({"price_lakh": spread(p), "area_sqft": spread(h["area_sqft"].dropna()),
"age_years": spread(h["age_years"])}).round(1))
```

OUTPUT

	price_lakh	area_sqft	age_years
range	518.0	2130.0	29.0
IQR	42.2	580.0	15.0
variance	1261.9	158572.6	74.2
std	35.5	398.2	8.6
CV_%	44.2	32.1	59.8
MAD	21.0	290.0	7.0

- **Variance** = average squared distance from the mean; **standard deviation** (sd) = its square root, in the original units.
- pandas `.std()` uses the **sample** formula (divide by $n-1$, Bessel's correction); NumPy `np.std` defaults to population (n).
- **Coefficient of variation** (CV = sd ÷ mean) compares spread across variables with different units.
- **IQR** (Q3 − Q1) is the spread of the middle 50%, robust to outliers.

$$s = \sqrt{\frac{1}{n-1}\sum_{i=1}^{n}(x_i - \bar{x})^2}$$

Percentiles, z-scores and the five-number summary

Python

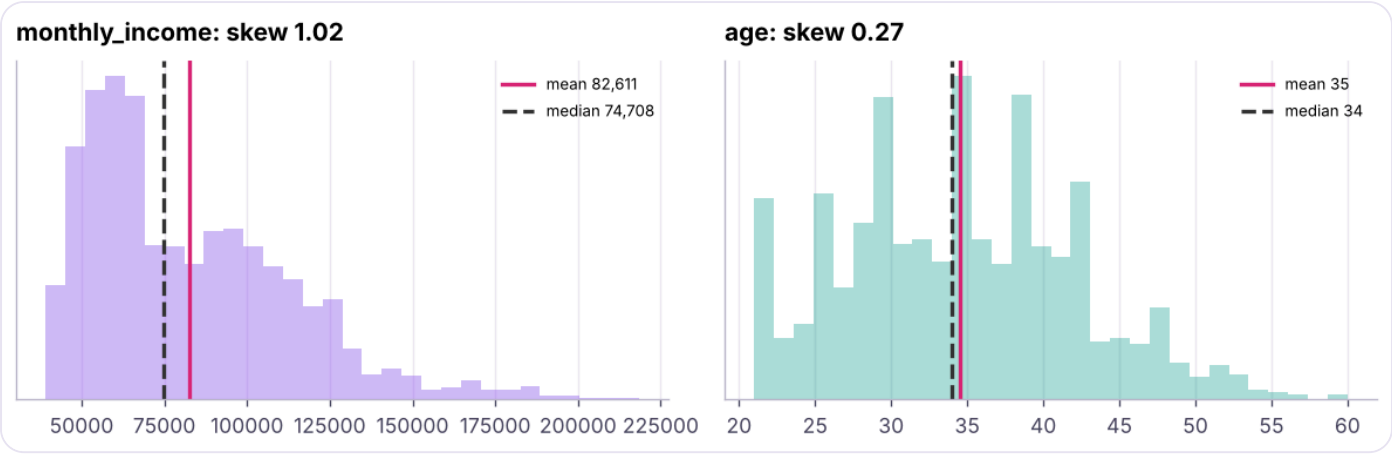
```
print(p.quantile([0, .1, .25, .5, .75, .9, 1]).round(1).to_dict())
z = (p - p.mean()) / p.std()
print(f"a ₹150 lakh house has z = {(150 - p.mean()) / p.std():.2f} | {(z.abs() >
2).mean():.1%} of houses are beyond ±2 sd")
print(f"percentile rank of ₹150 lakh: {stats.percentileofscore(p, 150):.1f}")
```

OUTPUT

```
{0.0: 2.0, 0.1: 40.5, 0.25: 57.3, 0.5: 78.9, 0.75: 99.4, 0.9: 120.1, 1.0: 520.0}
a ₹150 lakh house has z = 1.96 | 1.7% of houses are beyond ±2 sd
percentile rank of ₹150 lakh: 98.2
```

A **z-score** says how many standard deviations a value is from the mean: it puts different variables on one scale (used in standardisation for ML).

Shape: skewness and kurtosis



Right-skewed (income), roughly symmetric (age) and the mean/median positions.

Python

```python
for col in ["monthly_income", "age", "years_at_company", "distance_from_home_km"]:
    x = hr[col]; print(f"{col:24s} skew {x.skew():6.2f} | excess kurtosis {x.kurt():6.2f} |
mean {x.mean():10,.1f} | median {x.median():10,.1f}")
print("log(income) skew:", round(np.log(hr.monthly_income).skew(), 2))
```

OUTPUT

```
monthly_income           skew   1.02 | excess kurtosis   0.95 | mean   82,610.7 |
median   74,708.5
age                      skew   0.27 | excess kurtosis  -0.39 | mean       34.5 |
median       34.0
years_at_company         skew   1.55 | excess kurtosis   3.00 | mean        3.8 |
median        3.0
distance_from_home_km    skew   0.00 | excess kurtosis  -1.26 | mean       15.2 |
median       15.0
log(income) skew: 0.28
```

Skewness	Shape	Mean vs median
≈ 0	Symmetric	Mean ≈ median
> 0	Right (positive) skew, long right tail	Mean > median
< 0	Left skew	Mean < median

Kurtosis describes tail heaviness (excess kurtosis 0 = normal; positive = more extreme values). A log transform often makes right-skewed money variables more symmetric.

Relationships: covariance and correlation

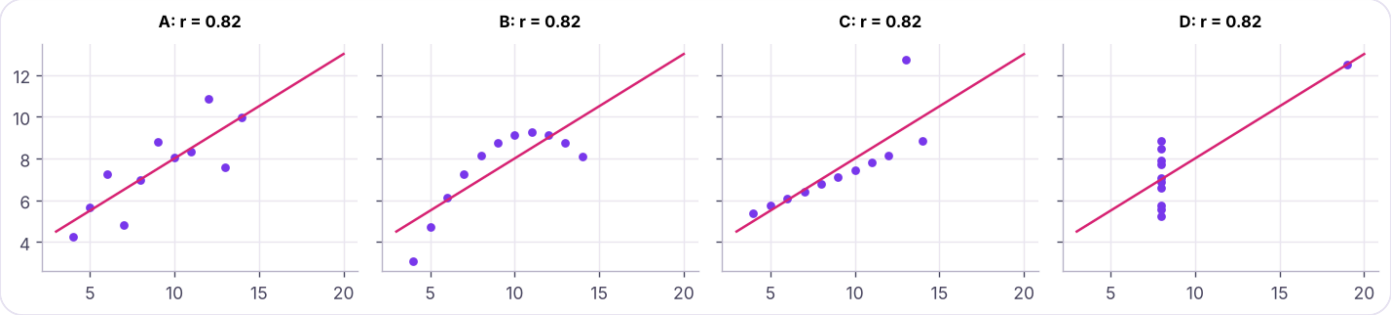
Python

```
num = h[["price_lakh", "area_sqft", "bedrooms", "age_years",
"distance_to_center_km"]].dropna()
print("covariance price-area:", round(num.price_lakh.cov(num.area_sqft), 1), "(units: lakh
× sq ft, hard to interpret)")
print(num.corr().round(2)["price_lakh"].sort_values(ascending=False))
print("Spearman (rank):", num.corr(method="spearman").round(2)
["price_lakh"].drop("price_lakh").to_dict())
r, pval = stats.pearsonr(num.area_sqft, num.price_lakh); print(f"Pearson r = {r:.3f}, p-
value = {pval:.1e}")
```

OUTPUT

```
covariance price-area: 11182.8 (units: lakh × sq ft, hard to interpret)
price_lakh               1.00
area_sqft                0.79
bedrooms                 0.58
distance_to_center_km   -0.07
age_years               -0.11
Name: price_lakh, dtype: float64
Spearman (rank): {'area_sqft': 0.9, 'bedrooms': 0.68, 'age_years': -0.13,
'distance_to_center_km': -0.06}
Pearson r = 0.787, p-value = 3.3e-248
```

- **Pearson r** measures linear association (−1 to +1). Rough guide: $|r| < 0.3$ weak, 0.3–0.7 moderate, > 0.7 strong.
- **Spearman ρ** correlates ranks: robust to outliers and captures monotonic non-linear relations.
- **Cramér's V** (categorical × categorical) and point-biserial (binary × numeric) cover other pairs.



Anscombe's quartet: four datasets with the same mean, variance and correlation (r ≈ 0.82) but completely different shapes. Always plot your data.

WATCH OUT **Correlation is not causation**

Ice-cream sales and drowning both rise in summer (a **confounder**: temperature). Correlation can also come from reverse causation, selection bias or chance. Only experiments or careful causal methods show cause.

Summary

KEY TAKEAWAYS

- Know the variable type and scale first: it decides valid statistics.
- Centre: mean (sensitive), median (robust), mode (categories); use weighted means for groups of different sizes.
- Spread: range, IQR (robust), variance and sd (sample uses n − 1), CV to compare variables.
- Shape: skewness (mean vs median), kurtosis (tails); log transforms reduce right skew.
- z-scores standardise; percentiles rank. Correlation (Pearson linear, Spearman rank) measures association, not causation; always plot.

Quick quiz

6 questions · tap an answer to check it

1. Which is the best measure of centre for household income?

A Mean

B Median

C Mode

D Range

Answer: B. Income is right-skewed; the median resists extremes.

2. In a right-skewed distribution, which is usually true?

A Mean > median

B Mean < median

C Mean = median

D Mode > mean

Answer: A. The long right tail pulls the mean up.

3. Why does the sample standard deviation divide by n − 1?

A To make it larger for fun

B To correct the bias from estimating the mean from the same sample (Bessel's correction)

C Because n is unknown

D It is a convention with no reason

Answer: B. It gives an unbiased variance estimate.

4. A z-score of −1.5 means...

A The value is 1.5 standard deviations below the mean

B The value is negative

C The value is in the 15th percentile exactly

D An error

Answer: A. z = (x − mean) / sd.

5. Which correlation suits a monotonic but non-linear relationship?

A Pearson

B Spearman

C Covariance

D None

Answer: B. Spearman uses ranks.

6. What does Anscombe's quartet teach?

A Correlation proves causation

B Identical summary statistics can hide very different patterns, so plot the data

C Means are useless

D Outliers never matter

Answer: B. Visualise before you summarise.

EXERCISE

Practice (hr_employees.csv)

(1) Mean, median and sd of `monthly_income` by department; which department is most variable (CV)? (2) The 90th percentile of income. (3) The share of employees beyond ±3 sd of income. (4) Pearson and Spearman correlation between age and income. (5) Classify each column by type and scale.

Show solution (worked answer)

Python

```
g = hr.groupby("department")["monthly_income"].agg(["mean", "median", "std"]); g["cv"]
= g["std"] / g["mean"]; print(g.sort_values("cv"))
print(hr.monthly_income.quantile(.9))
zi = (hr.monthly_income - hr.monthly_income.mean()) / hr.monthly_income.std();
print((zi.abs() > 3).mean())
print(hr[["age", "monthly_income"]].corr().iloc[0, 1], hr[["age",
"monthly_income"]].corr("spearman").iloc[0, 1])
# gender, department, city: nominal; education, job_satisfaction, performance_rating:
ordinal; age, income: ratio
```

INTERVIEW CORNER

Questions you may be asked

Q: Mean vs median: when do you report each? Median for skewed data or outliers (income, house prices, delivery times); mean for symmetric data or when totals matter.

Q: What does a standard deviation of 0 mean? All values are identical.

Q: Correlation is 0. Are the variables independent? Not necessarily: Pearson only captures linear relationships; a perfect U-shape can have r = 0.

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